

Easing inflation in June cements the ECB's hold in July

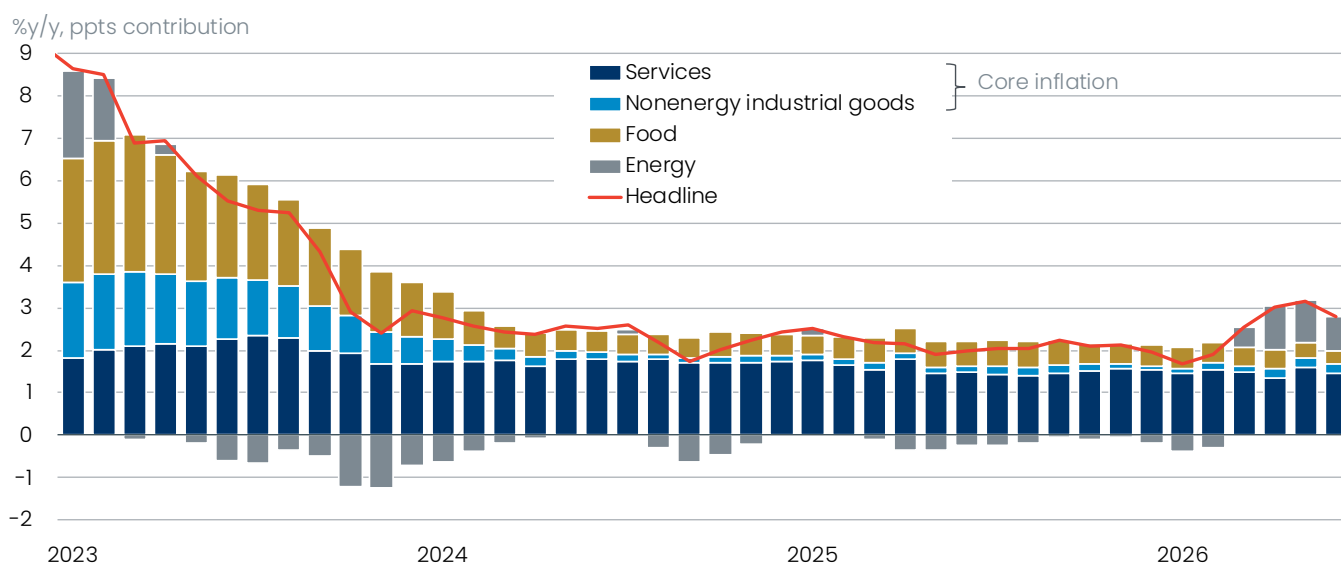
- Eurozone inflation eased 0.4ppts to 2.8% in June, driven by softer energy, food and services. Lower fuel prices following the US-Iran ceasefire was the main driver pushing inflation down, but we think the decline is sufficiently broad to assuage worries about potential second round effects and cements our view that the ECB will hold rates in July. The improving inflation outlook means we don't expect any further rate hikes.
- Final manufacturing PMIs confirmed the ongoing resilience of the sector, with the Eurozone measure easing only 0.2ppts to 51.4 in June and manufacturing output improving on May. The PMIs also gave another indication of a gradual decline in Spain's outperformance – its manufacturing PMI was the only one of the Big 4 Eurozone economies to dip below 50 with a 1.5ppts decline to 49.7.

Eurozone headline inflation recorded a sizeable, broad-based easing by 0.4ppts to 2.8% in June, a development telegraphed by the [earlier national data](#). Easing of energy price inflation to 8.7% from 10.8% in May (-1.7% in monthly terms) was the main event, driven by the US-Iran ceasefire sending the global oil prices tumbling ahead of analysts' expectations. But other developments contributed too – food price inflation declined to 1.6%, continuing its recent streak of soft prints. Based on leading indicators and pipeline pressures, we expect soft food price inflation to continue in the near term, despite the earlier Iran war-induced global commodity shock.

More importantly, services inflation eased to 3.2%, though it still remains too high to the ECB's liking, and core goods inflation stayed unchanged at 0.9%. This apparent lack of second-round effects from the energy prices spike should all but assuage the ECB's council. We think the June print effectively removes any chance of another ECB hike in July following the June 25bp tightening, and [we don't expect the ECB to hike](#) later in the year either.

Chart 1: Headline inflation eased to 2.8% in June in a broad-based manner

Eurozone: Headline inflation breakdown



Sources: Oxford Economics, Haver Analytics

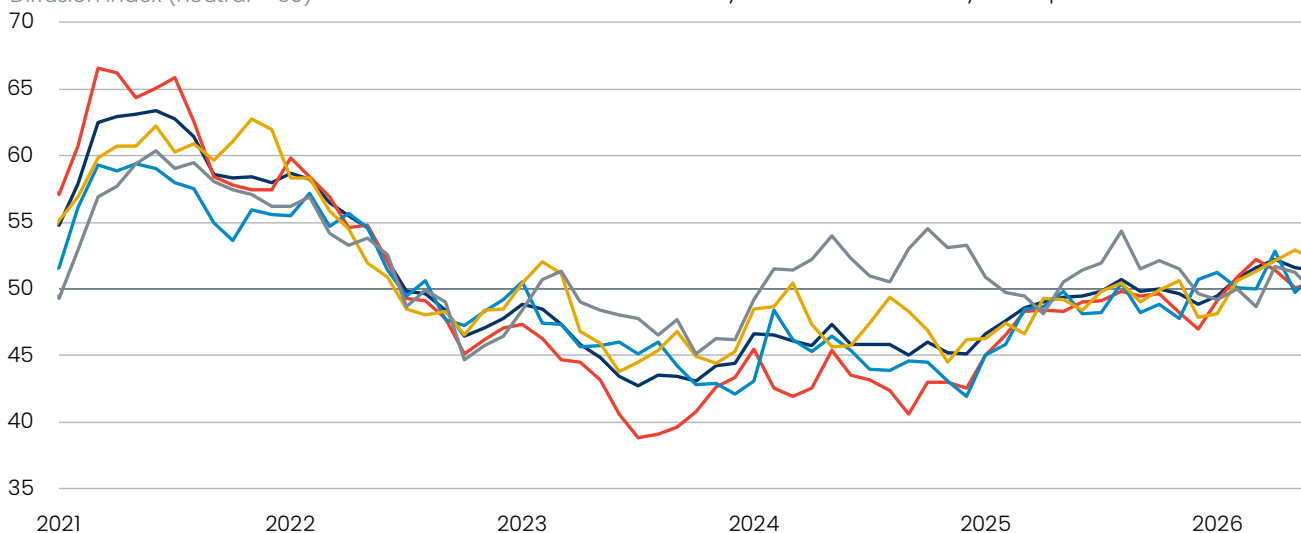
Final manufacturing PMI numbers for June confirmed the ongoing resilience in the manufacturing sector, despite the prevailing tumultuous global backdrop. The Eurozone aggregate dipped only slightly by 0.2pts to 51.4, remaining comfortably above the neutral 50-mark. Despite a drop in the headline, the output index increased modestly by 0.3pts to 51.7. More positives came on the pricing side, with both input and output prices rising at a slowest clip since the US-Iran-Israel war began in March. Domestic order volumes also improved, though export demand remains a drag on the sector. With the US-Iran ceasefire in place, this should provide some further modest support to industry via lower energy commodity prices, decline in market interest rates and reduced uncertainty.

Of the countries that don't release [a flash PMI reading](#), both Italy and Spain recorded a decline in the manufacturing PMI index. For Italy, the decline was relatively minor 0.7pts to 52.2. In Spain, the drop was a larger 1.5pts to 49.7, making it the only economy of the Eurozone Big 4 to drop into contractionary territory, albeit by the narrowest of margins. We think this is another sign of a gradual convergence of the Big 4 economies and slow erosion of Spain's outperformance, though we still expect the Spanish economy to grow at 2.6%, more than double the rate of its Eurozone peers.

Chart 2: Manufacturing PMI remained above the 50-mark in June, with ongoing convergence among countries

Eurozone: Manufacturing PMI by country

Diffusion index (neutral = 50)



Sources: Oxford Economics, S&P Global